

BCBS 239 Principles & Data Governance Implementation

Knowledge Sharing Session



Topics – BCBS 239

- 1 Quick summary of What we already know
- 2 GSIB, DSIB and Compliance Assessment
- 3 Implementation of capabilities
- 4 Real world examples
- 5 Open Discussion



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Geography	Central Banks & Financial Regulatory Authorities	Data Privacy	Data Security	Risk Data Aggregation and Risk Reporting (RDARR)
US	Federal Reserve (Fed)	Gramm-Leach-Bliley Act (GLBA)	- Bank Secrecy Act (BSA), - SOX - PCI DSS	BCBS 239
Europe	European Central Bank (ECB)	- GDPR - Law Enforcement Directive - EU Data Protection Regulation (EUDPR) What & Why	Network and Information System Security (NIS) Directive	- BCBS 239 - BCBS integrated with ECB's Guide on RDARR (2025)
Singapore	Monetary Authority of Singapore (MAS)	Personal Data Protection Act (PDPA)	- MAS TRM Guidelines - FSM Bill	BCBS 239 alignment via MAS guidance
India	Reserve Bank of India (RBI)	Digital Personal Data Protection Act (DPDP Act)	- RBI Cyber Security Framework - IT outsourcing guidelines	BCBS 239 compliance encouraged by RBI

Questions



BCBS stands for? “B_____ C_____ B_____ S_____

Number of principles included in BCBS239 are _____

BCBS 239 Principles & Background



The 2008 financial crisis exposed major weaknesses in banks' ability to:

- Aggregate risk exposures across business lines and geographies
- Produce timely and accurate risk reports
- Make informed decisions during stress events

Principles for Effective **Risk Data Aggregation** and Risk Reporting was issued by Basel Committee on Banking Supervision (BCBS) in **2013**

Initially targeted at Global Systemically Important Banks (**G-SIBs**), later extended to Domestic Systemically Important Banks (**D-SIBs**)

“**Risk Data Aggregation**” means **defining, gathering and processing** risk data according to the bank's risk reporting requirements to enable the bank to measure its performance against its risk tolerance/appetite. This includes **sorting, merging or breaking down sets** of data.

BCBS 239 Expectations

I. Overarching governance and infrastructure

1. Governance
2. Data architecture and IT infrastructure

II. Risk data aggregation capabilities

3. Accuracy and integrity
4. Completeness
5. Timeliness
6. Adaptability

III. Risk reporting practices

7. Accuracy
8. Comprehensiveness
9. Clarity and usefulness
10. Frequency
11. Distribution

IV. Supervisory review, tools and cooperation

12. Review
13. Remedial actions and supervisory measures
14. Home/host cooperation



Timelines & Regulatory Mandate



2013 - 2020

- 2013: BCBS publishes *Principles for Effective Risk Data Aggregation and Risk Reporting* (BCBS 239)
- 2014: G-SIBs identified by Financial Stability Board. BCBS 239 compliance deadline set for **January 2016**
- 2016: G-SIBs expected to be fully compliant; regulators begin supervisory reviews.
- 2018: National Regulators brought D-SIBs under BCBS 239 scope. This was not a global mandate but country-specific, meaning each jurisdiction set its own implementation timelines.



2021-2025

- GSIBs: Most have implemented core BCBS 239 principles but still face challenges in **data lineage**, **adaptability**, and **timeliness**.
- GSIBs: Regulators (ECB, PRA, Fed) continue to issue findings on gaps in governance and IT infrastructure.
- DSIBs: Compliance varies by jurisdiction; many still in **partial implementation** phase.
- DSIBs: National regulators (e.g., RBI, OSFI) enforce **incremental adoption** tied to Basel III and local risk reporting mandates.

- Banks that fail to meet expectations face:
- **Capital surcharges** (Pillar 2 add-ons).
 - **Restrictions** on business activities.
 - **Direct fines** and reputational damage.



FUTURE

- 2025-2027:
 - Increased focus on real-time risk reporting and AI-driven data quality controls.
 - Integration of BCBS 239 with digital regulatory reporting (DRR) initiatives.
- Beyond 2027:
 - Expected convergence with climate risk reporting, operational resilience, and data ethics frameworks.
 - Supervisors likely to mandate continuous compliance monitoring using RegTech solutions.

Sources:

[Navigating the regulatory challenges of BCBS 239 | McKinsey](#)
[BCBS Climate Risk Disclosure Framework \[bis.org\]](#)
[McKinsey & BIS Publications \[mckinsey.com\]](#)
[McKinsey Analysis \[mckinsey.com\]](#)

Fed fines Bank of New York Mellon for misstating capital for more than 3 years



- Will pay \$3 million for “unsafe and unsound practices”



June 27, 2017, 2:49pm by [Ben Lane](#)

Bank of New York Mellon will pay a fine of \$3 million for “unsafe and unsound practices” that led to the bank misstating its capital for more than three years, the Federal Reserve Board announced Tuesday.

According to the Fed, BNY Mellon consolidated a portfolio of collateralized loan obligations onto its balance sheet in 2010. The Fed stated that at the time, BNY Mellon “incorrectly assigned the assets a zero-risk weighting, which was improper under the rules in place at the time.”

The result of BNY Mellon’s “improper treatment” of its portfolio led to the bank understating its reported risk-weighted assets and overstating its risk-based capital ratios for almost 14 quarters.

<https://www.housingwire.com/articles/40542-fed-fines-bank-of-new-york-mellon-for-misstating-capital-for-more-than-3-years/>

US regulators fine Citi \$136 million for failing to fix longstanding data issues



By [Michelle Price](#), [Pete Schroeder](#) and [Tatiana Bautzer](#)

July 11, 2024, 5:41 AM GMT+5:30 Updated July 11, 2024

WASHINGTON, July 10 (Reuters) - U.S. bank regulators fined Citigroup \$136 million for making **"insufficient progress" fixing data management issues** identified in 2020 and required the bank to demonstrate it was putting enough resources toward those efforts.

<https://www.reuters.com/business/finance/us-bank-regulators-fine-citi-136-million-failing-address-longstanding-data-2024-07-10/>





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- **How many Banks have been identified as GSIBs currently (as of 2024) ?**
- **Do you know SIBs in India?**



Systemically Important Banks – GSIB, DSIB

GSIBs

- Banks whose failure could trigger a global financial crisis due to their **size, complexity, interconnectedness, cross jurisdictional activities and substitutability / infra**.
- Identified annually by the **Financial Stability Board (FSB)** in consultation with the **Basel Committee on Banking Supervision (BCBS)**.

Regulatory Requirements for G-SIBs

- **Higher Capital Buffers:** Additional Common Equity Tier 1 (CET1) capital ranging from 1.0% to 3.5%.
- **Total Loss-Absorbing Capacity (TLAC):** Sufficient equity and debt instruments to absorb losses during resolution.
- **Enhanced Supervision:** Includes resolution planning, risk governance, and data aggregation capabilities (e.g., BCBS 239).
- **Disclosure Requirements:** Public reporting of systemic indicators.
- There are **29 G-SIBs** in the 2024 list. Some examples include JP Morgan Chase, Bank of America, Citigroup, HSBC, BNP Paribas, Barclays, Deutsche Bank, ICBC, Mitsubishi UFJ, UBS, etc.

DSIBs

- Banks whose failure would significantly impact the domestic financial system.
- Identified by each country's regulator (e.g., RBI in India, OSFI in Canada) based on national criteria.

Regulatory Requirements for D-SIBs

- **Additional Capital Requirements:** Typically 0.2% to 1.0% of risk-weighted assets.
- **Enhanced Supervision:** More frequent inspections, stress testing, and resolution planning.
- **Disclosure Obligations:** Public identification and reporting.
- Examples of DSIBs in India from the RBI list include: State Bank of India, ICICI Bank, HDFC Bank

G-SIBs and D-SIBs are “too big to fail” institutions. Their regulation is designed to prevent systemic crises. They are subject to BCBS 239, Basel III, and resolution planning.

Data governance, risk aggregation, and capital adequacy are critical to their compliance.

BCBS 239 Compliance Assessment



Supervisors assess banks' current degree of compliance with each of the Principles on a 1 to 4 scale

The four ratings are defined as follows

Rating	Interpretation
Rating of "4"	The Principle is fully complied with: The objective of the Principle is fully achieved with the existing architecture and processes;
Rating of "3"	The Principle is largely complied with: Only minor actions are needed in order to fully comply with the Principle;
Rating of "2"	The Principle is materially non-compliant: Significant actions are needed in order to progress further or achieve full compliance with the Principle;
Rating of "1"	The Principle has not been adopted.

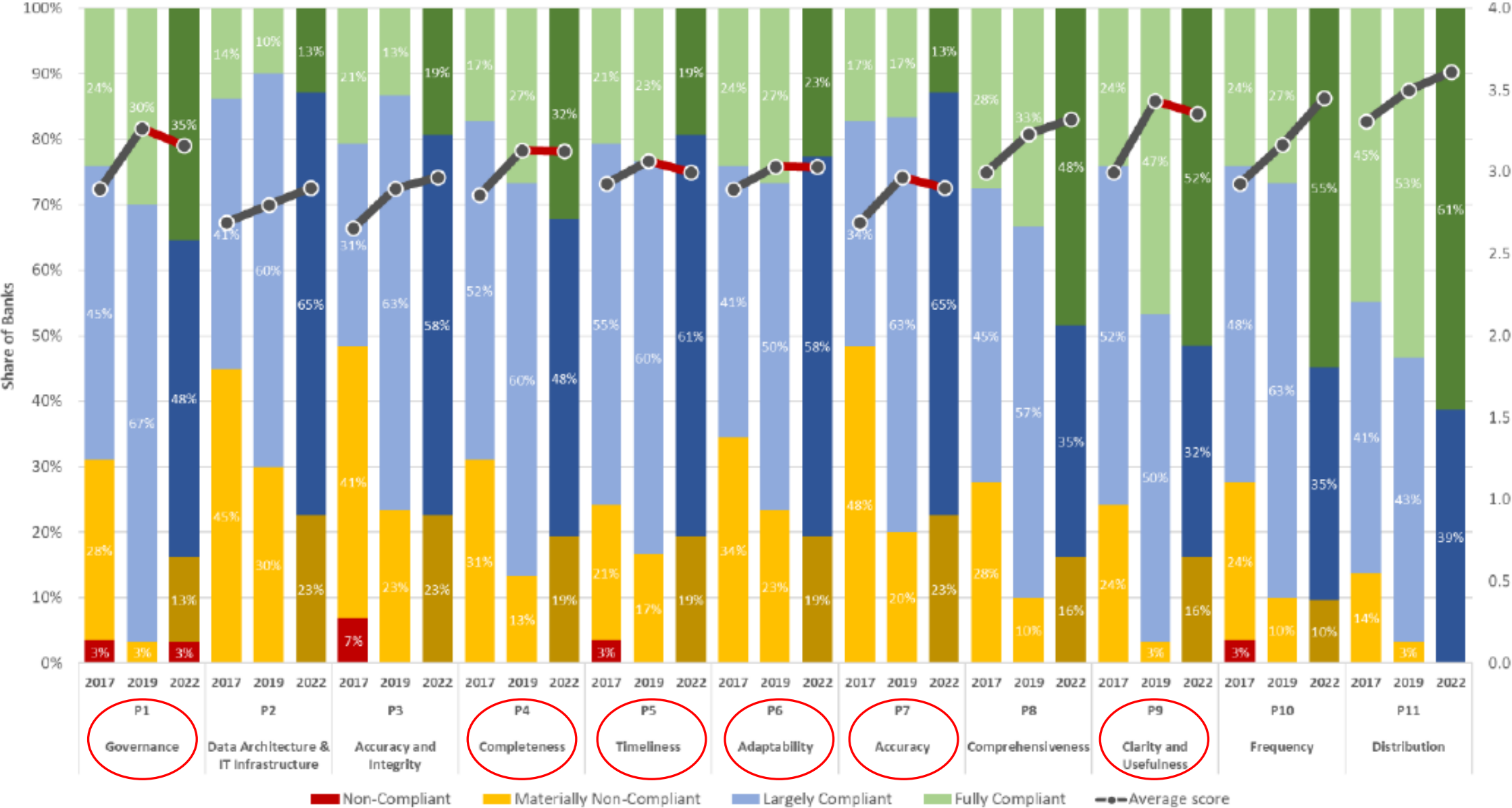
The assessment done based on a **common assessment template** that supervisors of the individual jurisdictions complete based on data for a specific point in time. Example the reports shared in the next slide are based on Jun 2022 data.

The report is divided into **two main parts**.

The first part of the report looks at **banks' progress in adopting the Principles** by comparing the 2022 assessment with previous assessments, highlighting notable improvements, remaining key challenges, activities, and recommendations to banks for implementing the Principles.

The second part of the report focuses on **supervisory approaches** and provides an overview of **supervisory activities and measures** to oversee and promote the adoption of the Principles, complemented by recommendations to supervisors for furthering these efforts

Bank compliance ratings by Principle in 2017, 2019 and 2022

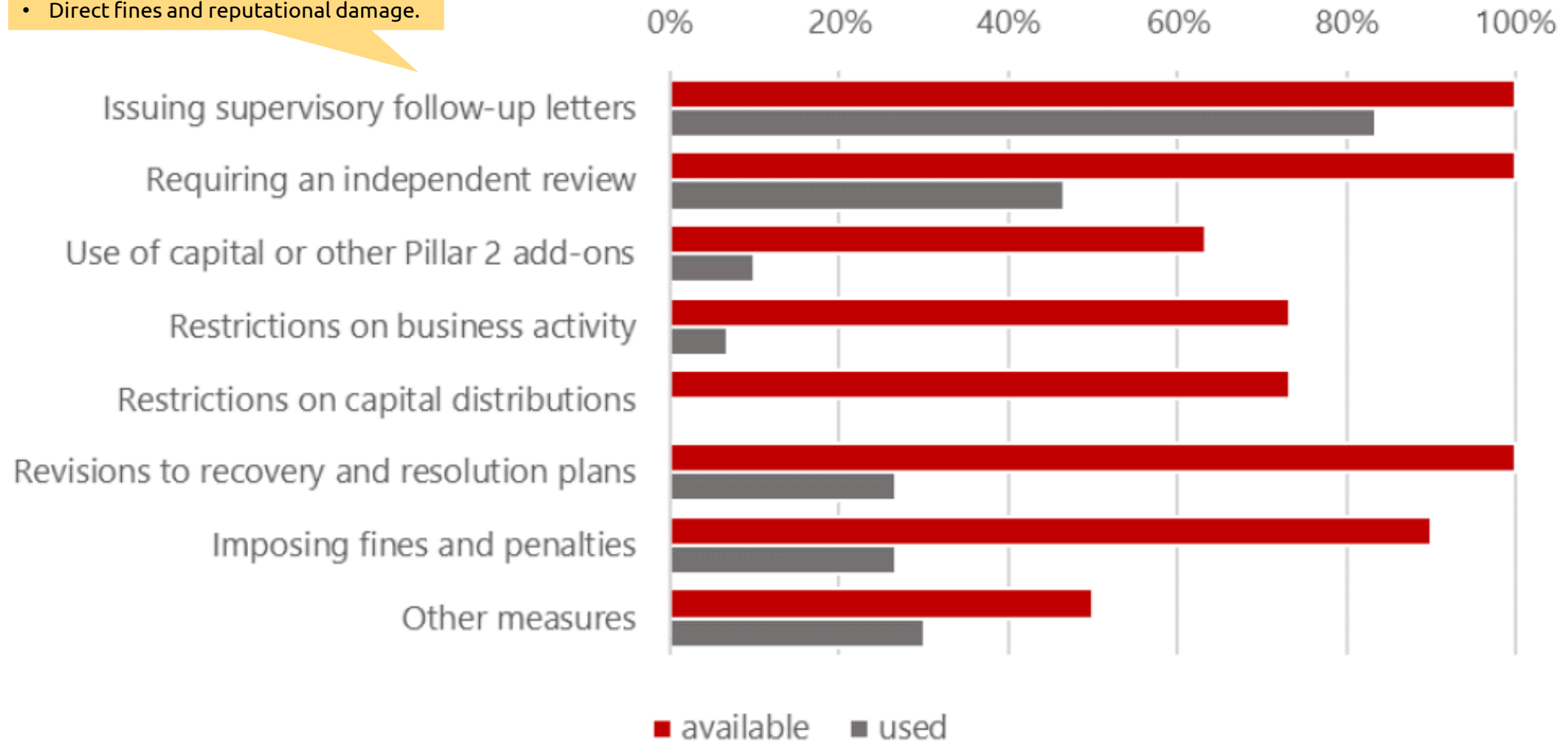


Availability and usage of supervisory measures



Banks that fail to meet expectations face:

- Capital surcharges (Pillar 2 add-ons).
- Restrictions on business activities.
- Direct fines and reputational damage.



Regulatory Asks



“Provide assurance that the data reported to the regulator is **reliable, complete, consistent and accurate**”

Area	Compliance Asks
Governance Oversight	• Whether enterprise level governance oversight, KPIs and escalation matrix in place involving data owners and top management? • How is data governance structured within the organization (e.g., roles, committees, processes)?
Data Lineage & Traceability	• Whether the institution can demonstrate an evidence of end-to-end data lineage, with a clear traceability of data movement across systems and departments up-to the source? Golden Source or ADS • How do you monitor data lineage for accuracy and compliance on an ongoing basis? • What controls are in place to ensure that data errors or discrepancies are detected and corrected?
Data Quality Controls	• Are sufficient DQ controls implemented focusing on accuracy, integrity, completeness, and timeliness of risk-related data? • What processes are in place to ensure data quality and accuracy? • How do you handle data errors or inconsistencies? • Do you have data quality metrics, and how are they monitored? • How do you ensure that data is reliable for decision-making and reporting?
Integrated Data Architecture & Metadata Management	• Whether the institution has a consistent group-wide data architecture, integrating risk and financial data across all entities, lines of business, and jurisdictions? • Are uniform data definitions and taxonomies established with clearly assigned data ownership? • How do data lineage processes support or align with other key practices like data quality management, metadata management, or data cataloging?
Third-Party & Outsourcing Oversight	• How do you manage and govern data shared by third-party vendors? What processes are in place to ensure that third-party vendors comply with your data governance standards and regulatory requirements? • Do you have contracts or agreements in place with vendors that outline their responsibilities regarding data protection and governance? • How do you monitor third-party compliance and performance related to data governance?